Higher National Diploma in Accountancy
Third Year, First Semester Examination – 2022
HNDA 3103– Business Law

Instructions for Candidates:
Answer five (05) questions only
Question One is compulsory
All questions carry equal marks

No. of questions : 06
No. of pages : 03

Time: **Three (03) hours**

QUESTION 01

i. Name two requirements for a custom to be considered as a law?
ii. Name the court which has jurisdiction regarding divorce cases.
iii. Name one of the principles of natural justice utilized by judges when making decisions.
iv. What is meant by *undue influence* in contract law?
v. What is meant by a *future good* under the Sales of Goods Ordinance?
vi. Who is a *Universal Agent*?
vii. What is the law governing public officials in Sri Lanka?
viii. Who are the parties contributing to the Employees Trust Fund?
ix. Name two negotiable instruments.
x. Name two differences between an assurance and an insurance contract.

(2x10=20 Marks)

QUESTION 02

Explain whether there is a contract or not by looking at the scenarios given below. Base your answer on the principles necessary for the formulation of a valid contract.

i. Ms.Mazy wanted to sell her land to Indika. She writes it on a paper and transfers it to him.
ii. Mr.Gayan tells his daughter that if she obtains a first class in her degree, he will buy her a vehicle.
iii. Mr.Firaaz gets on the bus and tells the conductor he wants to go to Kandy and gives him money. The conductor issues a ticket.
iv. Mr.Rasfan goes into a contract with Mr.Dinuka to sell drugs to Ms.Malsha.
v. Ms.Kogila books a room at Lahiru's Hotel to watch the Kandy Perahera. The perahera is cancelled.

(4x5 = 20 Marks)

QUESTION 03

Ms.Hansani wants to buy a car but since she's not an expert in the area of vehicles, she decides to go to Mr.Aryanz Automobiles and buy the vehicle. After explain the reasons as to why she is buying the vehicle, he relies on the advice given by him and agrees to buy the vehicle suggested by him. After few months, she realizes that the vehicle is a stolen vehicle and the original owner is asking her to return the vehicle to him. Mr.Aryanz is refusing to return the money saying that she used the vehicle for few months.

i. What is meant by a contract of sale?
ii. What is the difference between contract of sale and agreement to sell?
iii. Would Ms.Hansani be able to recover the entire amount paid to Mr.Aryanz Automobile? Explain with reference to case law.
iv. Explain the implied condition which would be applicable in this scenario.

(5x4 = 20 Marks)

QUESTION 04

i.

a. Discuss the types of crossings along with its significance. (4 Marks)
b. Explain background to became a holder in due course. (6 Marks)

ii.

a. List four duties of an agent. (4 Marks)
b. Discuss the requirements to create an agency by necessity with relevant case laws. (6 Marks)

(Total 20 Marks)

QUESTION 05

i. What is meant by utmost good faith in the law of insurance? (5 Marks)
ii. Discuss the functions of the auditor general. (5 Marks)
iii. List the fundamental rights which introduced under the Constitution of 1978 (5 Marks)
iv. Explain the remedies against the infringement of fundamental rights (5 Marks)

(Total 20 Marks)

QUESTION 06

i. Mr.Ranjith has been an employee at Sathuta Garments for 15 years. He is going to retire on 30th December 2023. His current salary is 200,000 per month. He wants to know how much money he will receive as gratuity payment from the company.

ii. Ms.Pavithri was recruited to Sathuta Garments in 11th of April 2023. She wants to know about her annual leave entitlement in the years 2023,2024 and 2025.

iii. Ms.Samanmali working as an accountant at Sathuta Garments is going to have her 3rd baby. She wants to know her leave entitlements.

iv. Discuss the contribution under Employees Trust fund Act and Employees Provident fund Act.

v. Name two labour Acts apply for each industrial and mercantile sector separately.

(4x5 =20 Marks)